ARBITRATION AND ADJUDICATION REGARDING ACTIVITIES IN OUTER SPACE

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In a recent paper,[1] Eilene Galloway, drawing from her experience with the United Nations Committee on the Peaceful Uses of Outer Space, reported how the use of consensus as a method for decision-making has proved remarkably successful in bringing about legal agreement for international space cooperation. She correctly points out the high degree of achievement demonstrated in the drafting of four space treaties which have been ratified by many nations. The consensus method described in the paper may indeed be a useful procedure for U.N. committees in other fields as well. One may, however, have to pour some water into the wine.

When comparing the consensus method to other methods of settling disputes regarding activities in outer space, these factors should be considered. First, there are good reasons for the view that some important parts of the most important space treaties, *e.g.*, the Outer Space Treaty[2] and the Liability Convention[3], found the consensus of the States concerned only because at that time many States did not realize the full extent of their own interests in that field. Perhaps today agreement even on the Outer Space Treaty might not be possible. Secondly, the situation has changed due to the progress of space activities from the exploratory stage to the stage of practical use of space. During the exploratory stage differing opinions in space law meant only a dispute on principles, and meant relatively little as far as collision of practical interests and of concrete application of such rules were concerned. Disputes, even between States, were of a more academic character during this exploratory stage. In fact, the first treaties on space law, especially the Outer Space Treaty, could be agreed upon and obtain relatively wide ratification because the States concerned were not under the pressure of the many obvious interests involved. The development and the practice of States in recent years

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[1]E. Galloway, Consensus as a Basis for International Space Cooperation (Sept. 1977) (unpublished paper presented at the International Space Law Colloquium of the International Institute of Space Law, Prague; to be published with the proceedings).

[2]Treaty on Principles Governing the Activities of States in The Exploration and Use of Outer Space, Including the Moon and Other Celestial Bodies, January 27, 1967, [1967] 18 U.S.T. 2410, T.I.A.S. No. 6347, 610 U.N.T.S. 205 (effective Oct. 10, 1967) [hereinafter cited as Outer Space Treaty].

[3]The Convention on International Liability for Damage Caused by Space Objects, March 29, 1972, [1973] 24 U.S.T. 2389, T.I.A.S. No. 7762 (effective Oct. 9, 1973) [hereinafter cited as Liability Convention].

indicates that States are now much more concerned about the important political and economical interests involved in many aspects of space law. Since these interests differ and often are in conflict between the various States and groups of States involved, it has become more difficult to find wide agreement on many aspects of space law. Thirdly, one can normally approach a difference of opinions between States with much more ease and patience in the international legislative process where the goal is to formulate future international law by way of convention, rather than in a situation where an actual conflict between States has to be solved *de lege lata.* Such conflicts must realistically be expected with the growing use of space and with the increasing number of States active, or at least interested, in such uses. The discussions on geostationary orbit, remote sensing, and direct broadcasting illustrate possible areas of such conflicts. The space shuttle illustrates how new States, in addition to the States presently active in space, may participate in space activities even without their own means of transportation. Due to this development the situation will evolve more and more into one where disputes on various aspects of space law can no longer be left open allowing each State to persist in its own view and act accordingly. These conflicting views and uses of outer space are incompatible, not only in theory but also in practice. Space law, therefore, is and will continue to be facing a demand to offer techniques for the settlement of disputes. Realizing that this demand exists certainly does not mean that it will be easy to satisfy. Space lawyers would not be fulfilling their responsibility, however, if they did not, with knowledge of all foreseeable difficulties, undertake efforts to assist in tackling this problem.

Unlike national law, space law shares with other fields of international law the weakness that it cannot automatically be enforced by going to court and receiving a judgment against the party violating its rules. It can, however, share the procedural know-how developed in other fields of international law to deal with this weakness. In international law a number of methods have been developed for the settlement of international disputes[4] including principles of international law concerning friendly relations and cooperation, inquiry, mediation, good offices, conciliation, arbitration, resort to regional agencies or arrangements, and adjudication by permanent international courts. This article will concentrate on the most difficult ones, the only ones assuring a decision: namely, those methods which allow a decision even if one of the parties in dispute does not agree with that decision. The resort to regional agencies or arrangements may fulfill this requirement and is relevant, for instance, within the scope of the European Space Agency. However, because itself, as well as its concept on the basis of the Outer Space Treaty, is of a universal character, a closer examination of regional solutions shall not be included here, although some of them present advanced models for settlement of international disputes[5]. For a universal application, this

[4]For most of these methods, *see* Charter of the United Nations, June 26, 1945, art. 33, 59 Stat. 1031, T.S. No. 993, 1 U.N.T.S. xvi. *See also* G. A. Res. 2625, U.N. Doc. A/8082 (1970).

[5] *See* European Convention on Pacific Settlement of Disputes, April 29, 1957, 320 U.N.T.S. 243 (arbitration is only compulsory for some of the States that ratified the convention, other States made reservations; *see* Bürgerliches Gesetzblatt [hereinafter cited as BGBL] 1961 II 1027; 1967 II 2371; 1970 II 666);

method would have to be viewed in conjunction with the question of whether there should be an international world space agency[6]. Of global importance, however, are the two other methods that assure a binding decision on the dispute even against the disagreement of one of the parties—arbitration and adjudication by permanent international courts. This paper will therefore concentrate on these two methods and their perspectives for the settlement of disputes regarding activities in outer space.

I. DIFFERENCES BETWEEN INTERNATIONAL ARBITRATIONS AND INTERNATIONAL ADJUDICATIONS

There has always been, and still is, a wide divergence in opinion as to the differences between international arbitration and international adjudication[7]. Of the suggested criteria for differentiation between the two, the most important are the choice of the individual arbitrator by the parties[8], the existence in adjudication of permanent bodies not having to be reconstituted for every dispute submitted[9], and the assumption that arbitrators decide on the basis of equity rather than on the basis of law[10]. This is not an academic discussion only. States having had positive experiences with individual arbitral tribunals established for special cases seem to be ready to accept the establishment of institutions under the term *arbitration* which do not fit into the traditional concept of arbitration. The States concerned do not wish to associate with the term *court,* since that term has heavy political connotations, especially with regard to sovereignty. Neither legal writing nor State practice permit a safe differentiation

Bogota Pact, April 30, 1948, North and South America, American Treaty of Pacific Settlement, 30 U.N.T.S. 55; Pact of the League of Arab States, March 22, 1945, art. V, 70 U.N.T.S. 237; Protocol of the Commission of Mediation, Conciliation and Arbitration, July 21, 1964, (in implementation of art. XIV, Charter of the OAU for Africa, May 25, 1963). *See also* Boutros-Ghali, L'organisation de l'unité africaine 120 (1969); Miehsler, The European Convention for the Peaceful Settlement of Disputes, Um Recht and Freiheit, Festschrift für von der Heydte 335 (1977).

[6] *See* Diederiks-Verschoor, Some Observations on the International Civil Aviation Organization and an International Space Agency; Herczeg, Legal Problems of International Agencies; Kamenetskaya, Cooperation among States in the Exploration and Use of Outer Space and International Organizations; Marcoff, The Space Agency Project and the Bogota Declaration (Sept. 1977) (all unpublished papers presented to the Space Law Colloquium of the International Institute of Space Law, Prague; to be published with the proceedings).

[7] For the range of opinions, *see* Loder, *La différence entre l'arbitrage international et la justice internationale* (1923); Sohn, ILA, Report, 52nd Conference 326.

[8] Hedges; 7 BYIL 119 (1926); Ray, *Commentaire du Pacte de la Société des Nations* 396 (1930).

[9] Schlochauer, in Strupp-Schlochauer, Wörterbuch des Völkerrechts, Schiedsgerichtsbarkeit, internationale, Al, Bl; Stone, *Legal Controls of International Conflict* 107 (2nd ed. 1959).

[10] This has been suggested in different ways. *See* U.N. Doc. A/2899; Report of the International Law Commission, U.N. Doc. A/2163, *reprinted in* [1952] 4 Y.B. Int'l L. Comm'n 57; Draft Commentary on Arbitral Procedure, U.N. Secretariat, U.N. Doc. A/CN.4/L.40, at 8.

between international adjudication and arbitration. The most convincing opinion appears to be that of those[11] who consider such a differentiation neither necessary nor practical. No international *court* is fully comparable to the normal concept of national courts, if one looks at the composition of the deciding body. Therefore, much can be said for considering them all as institutionalized tribunals of international arbitration. If one is hesitant to go that far, then all techniques of deciding international disputes by non-partisan third parties, other than the International Court of Justice, the European Court of Justice and the European Court of Human Rights, should be termed arbitration.[12]

II. LACK OF SUFFICIENT PROCEDURES IN POSITIVE SPACE LAW

The existing treaty law on activities in space contains regulations on arbitration and adjudication only in limited areas; otherwise, no rules on the compulsory settlement of disputes are mentioned. One must face the fact that the fundamental charter of space law, the Outer Space Treaty, does not contain any provision, compulsory or elective, on the settlement of disputes. It only provides, with regard to substantive law, for the relatively vague principles of "co-operation" and "due regard to the corresponding interest of all other States"; and, with regard to procedural law, for consultation in cases where harmful interference might be expected.[13]

The Liability Convention at least contains a solution similar to that offered by the Convention on the Law of Treaties; namely, conciliation, which is seen as the only sure technique. If no settlement of a claim is achieved through diplomatic negotiations, the parties concerned shall establish a Claims Commission at the request of either party.[14] The information of the Claims Commission and the respective procedure is provided for in a way very similar to the methods used for the establishment of arbitral tribunals.[15] There is specific provision for the competence of a third party, *viz.*, the Secretary-General of the United Nations, to appoint its chairman when the parties cannot agree within a given period; and the chairman is to act as a single member Claims Commission if one party does not appoint its member of the Commission.[16] Substance and form of the decision are also comparable to those of an arbitral award. The Commission shall

[11]Hudson, *International Tribunals* 100 (1944); Sohn, ILA, Report, 52nd Conference 326; Wengler, *Völkerrecht* 714, 715 n. 1 (1964).

[12]Oppenheim/Lauterpacht, *International Law* 22, (7th ed. 1952).

[13]Art. IX, Outer Space Treaty, *supra* note 2.

[14]Art XIV, Liability Convention, *supra* note 3.

[15] *Id.* art. XV to XVII.

[16] *Id.*

decide the merits of the claim for compensation and determine the amount of compensation payable, if any.[17] This decision is to be made on the basis of "international law and the principles of justice and equity."[18] With regard to the form of the decision, the Commission shall state its reasons.[19] The crucial weakness of this settlement technique is the provision which states: "The decision of the Commission shall be final and binding if the parties have so agreed; otherwise the Commission shall render a final and recommendatory award which the parties shall consider in good faith."[20] The binding force of the decision is therefore dependent on the agreement of both parties. If both parties come to such an agreement before the proceedings start, one might consider the Commission to act as an ad hoc arbitration tribunal. But if such agreement is reached only after the Commission has expressed its opinion, or if no agreement is reached at all, then the second alternative of the above quoted provision is applicable and the procedure will have to be considered one of conciliation. The settlement technique ensured in the Liability Convention is, consequently, only that of conciliation.

A compulsory procedure leading to an actual decision of the dispute by arbitration (with one specific limitation which will be discussed later) is contained in the Convention for the establishment of a European Space Agency.[21] The ESA Convention expressly says that every dispute among member States or between a member State and ESA can be submitted by one of the parties to an arbitral tribunal.[22] The difference between the ESA Convention and the Liability Convention becomes evident in the provision of the former which states that the decision is final and binding for the parties, is not subject to appeal, and has to be executed by the parties without delay.[23] This duty to execute the arbitral award is in addition to the pressure of the provision which authorizes the Council to exclude a member State from the organization if that member State has not fulfilled its obligations under the treaty.[24] The one limitation to the arbitration procedure in the ESA Convention is in cases in which one party does not nominate its arbitrator or the two arbitrators cannot agree on the third arbitrator.[25] The

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[17] *Id.* art. XVIII.

[18] *Id.* art. XII; art. XIX, para. 1.

[19] *Id.* art. XIX, para. 2.

[20] *Id.*

[21] Convention for the Establishment of a European Space Agency, May 30, 1975. For text of the Convention, *see* 14 Int'l Leg. Mat. 864 (1975).

[22] *Id.* art. XVII.

[23] *Id.* art. XVII, para. 6.

[24] *Id.* art. XVIII.

[25] *Id.* art. XVII, paras. 2, 3.

convention says that additional rules of procedure will be adopted by the Council when passed by a two-thirds majority.[26] So far, such additional rules have not been formulated by the ESA Council.[27] Theoretically it would therefore be possible, on the basis of the ESA Convention, for a member State which is not receiving the support of a two-thirds majority in the Council to be stopped in its application for arbitration by the Council not providing the necessary rules of nomination for the remaining arbitrators.

The second case of compulsory settlement, in at least a limited area of space law, is found in the Intelsat Agreement of August 20, 1971.[28] It also provides for arbitration for the settlement of disputes.[29] It is important to note, however, that the agreement of the parties concerned is required as a condition for such arbitration[30] and there is no provision for obligatory arbitration. Further, it should be noted that this agreement expressly calls, four times, for arbitration only with regard to *legal* disputes. Thereby it picks up the often discussed differentiation between legal and nonlegal, especially political, disputes.[31] The ESA clause does not contain any differentiation to that effect but applies to *all* disputes, while the Liability Convention only deals with *claims.*[32]

III. ARBITRATION AND ADJUDICATION PROVISIONS IN INTERNATIONAL AIR LAW

Since space law lacks appropriate compulsory procedures, and in view of the interrelations and similarities between space law and air law, those techniques for compulsory settlement of disputes found in international air law are of specific interest and relevance for possible further development of space law.

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[26] *Id.* art. XVII, para. 2.

[27] Information given by ESA Secretariat as of October 1977.

[28] Agreement Relating to the International Telecommunications Satellite Organization (INTELSAT), T.I.A.S. No. 7532 (1973). For text of the agreement, *see* 10 Int'l Leg. Mat. 909 (1971).

[29] *Id.* art. XVIII. Further details on the kind and procedure of arbitration are contained in Annex C to the Agreement.

[30] *Id.* art. XVIII, paras. a,b,c.

[31] *See* Berber, *Lehrbuch des Völkerrechts* 30 (2nd ed. 1977); *See also* Italian-Norwegian Arbitration Treaty, June 17, 1929, art. XVIII, for a formula which might be flexible enough not to leave any gaps: "If, in the opinion of the Court, the dispute is not of legal character, the parties agree that it shall be settled *ex aequo et bono.*"
The problem that States may not be ready to submit vital political issues in advance to adjudication or arbitration was clearly presented by Canadian representatives, *see* 8 External Affairs 22 at 252 (1970); 9 Int'l Leg. Mat. 600 (1970); Canadian Y.B. Int'l Law 285 (1971).

[32] Art. VIII, Liability Convention, *supra* note 3.

In multilateral air treaty law the most important procedure is the relatively complicated system for the settlement of disputes in the framework of the International Civil Aviation Organization.[33] Although the details of this system[34] cannot be presented here, one should note that there are two possible stages dealing with the dispute. In the first stage any member State may apply to the ICAO Council, and the Council, in the procedure described in detail in the above mentioned Rules,[35] will render its decision. In the case of a mere complaint, appropriate findings and recommendations will be made. A party may then open a second stage of settlement by appealing the decision of the Council. Such appeal may be brought before either an ad hoc arbitral tribunal or the International Court of Justice. If any one of the parties has not accepted the Statute of the International Court of Justice, the appeal will automatically be decided by arbitration. For the arbitration there are again two alternatives. Either the parties concerned agree on the arbitral tribunal, or, if they cannot agree, the appeal will automatically be decided by a three member arbitral tribunal to which the president of the Council shall name an arbitrator, if a party fails to do so, or the umpire, if the arbitrators cannot agree on an umpire. The decisions rendered on the appeal either by the Permanent Court of International Justice or by the arbitral tribunal are final and binding for the parties. The ICAO system thus insures the final settlement of disputes by arbitration, unless the parties prefer to seek final settlement by the International Court of Justice. There are further details of this system which could be useful in comparable situations of space law as well. One such detail is that Council decisions on the operation of an international airline shall remain in effect unless reversed on appeal.[36] This important rule clarifies the situation during the perhaps long period until the appeal is decided. Another such detail is the additional force given to decisions by a rule[37] under which each contracting State undertakes to bar the operation of an airline of a contracting State through the airspace above its territory if the Council has decided that the airline concerned is not conforming to a final decision rendered either by the International Court of Justice or an arbitral tribunal. Generally speaking, the ICAO system presents a well developed model for the settlement of disputes to which one can look for possible solutions in the further development of space law.[38] Thus one has to

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[33] *See* Convention on International Civil Aviation, *opened for signature* Dec. 7, 1944, art. 84-88, 61 Stat. 1180, T.I.A.S. No. 1591, 15 U.N.T.S. 295; Interim Agreement on International Civil Aviation, *opened for signature* Dec. 7, 1944, art. II, sec. 2, 59 Stat. 1516, E.A.S. No. 469, 171 U.N.T.S. 345; International Air Transport Agreement, *opened for signature* Dec. 7, 1944, art. IV, sec. 3, 59 Stat. 1701, E.A.S. No. 488, 171 U.N.T.S. 387.

[34] See T. Buergenthal, *Law Making in the ICAO* 123, 166 (1969).

[35] Rules for the Settlement of Differences, *supra* note 33.

[36] Art. 86, Chicago Convention, *supra* note 33.

[37] *Id.* art. 87.

[38] This is true not only in the positive, but also in the negative sense. For example, points needing further clarification led to the dispute between India and Pakistan in which an appeal was made to the ICJ for the first

realize that much of this model could only be realized due to the existence and advanced development of ICAO as an international organization, and that similar solutions in space law might well depend on whether or not there will be and should be a world international space agency.[39]

Even more instructive material on arbitration or adjudication procedures can be found in the bilateral air transport agreements. Although it is not possible here to present a detailed survey of respective provisions in the great number of those agreements,[40] it seems important to note in this context that the accepted practice of States in the majority of these bilateral air transport agreements is to include arbitration clauses. The great majority of these agreements provide for compulsory arbitration.[41] Most of them, especially those concluded by the United States, Western European and North African states, phrase the arbitration clauses in such a way as to guarantee the conduct of proceedings.[42] Eastern European socialist states appear to be the only states that have concluded a greater number of air transport agreements which do not provide for arbitration, but only for negotiations or mixed commissions as the technique to settle disputes.[43] For the evaluation of arbitration clauses in bilateral air transport agreements, it is of relevance to note that most of these agreements contain termination clauses giving each party the right to denounce the agreement. The denunciation normally takes effect after a certain period; for example, twelve months after such denunciation.[44]

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time in this context. *See also* ICJ, Reports of Judgments, Advisory Opinions and Orders 45 (1972); Bockstiegel, Streitentscheidungszustandigkeiten in der Internationalen Zivilluftfahrtorganisation (ICAO), Festschrift Jahrreiss 5 (1974).

[39]In that context see Diederiks-Verschoor, Some Observations on the International Civil Aviation Organization and an International Space Agency (Sept. 1977) (unpublished paper presented at the International Space Law Colloquium of the International Institute of Space Law, Prague; to be published with the proceedings).

[40] *See* A Survey of Treaty Provisions for the Pacific Settlement of International Disputes U.N. Doc. 66 V.5 at 333, 361; Buergenthal, Law Making in the ICAO 174 (1969); Handbook of Administrative Clauses in Bilateral Air Transport Agreements, ICAO Circular 63-AT/6, at 72.

[41]For agreements not making arbitration compulsory see those between Federal Republic of Germany-Mexico, BGBL. 1969 II, 194; Czechoslovakia-Morocco, 497 U.N.T.S. 275; Ghana-Rumania, 467 U.N.T.S. 443; Guinea-Sweden 465 U.N.T.S. 235.

[42] *See, e.g.,* U.S.A.-Egypt, 531 U.N.T.S. 229; Federal Republic of Germany with Japan, 465 U.N.T.S. 173, with Greece, 544 U.N.T.S. 193, with Ecuador, 498 U.N.T.S. 199, with Denmark and Ivory Coast, 595 U.N.T.S. 313, with Pakistan, 465 U.N.T.S. 41; United Kingdom-Czechoslovakia, 374 U.N.T.S. 207; Switzerland-Ghana, 559 U.N.T.S. 193; Denmark-Yugoslavia 511 U.N.T.S. 241; Japan- Kuwait, 498 U.N.T.S. 235; Algeria-France, 563 U.N.T.S. 263; Morocco-Egypt, 563 U.N.T.S. 121.

[43] *See, e.g.,* U.S.S.R.-Ghana, 498 U.N.T.S. 41; U.S.S.R.-Italy, Gaz. Uff. 1967, No. 231, 5135; Czechoslovakia-Afghanistan, 497 U.N.T.S. 129; Poland-Greece, 538 U.N.T.S. 155; Poland-Netherlands, 497 U.N.T.S. 189; Rumania-Greece, 485 U.N.T.S. 17.

[44] *See* ICAO Circular 63-AT/6, at 93.

Although such a termination would normally not change the binding effect of arbitration proceedings started during the validity of the agreement (details would depend on the interpretation of the individual agreement), a State party disliking the introduction of the arbitration proceedings as such, or disliking the arbitral award rendered, could at least exclude any arbitration proceedings in the future by terminating and perhaps renegotiating the agreement. The bilateral air transport agreements provide evidence that even if States are not ready to submit their international disputes to arbitration or adjudication, they may nevertheless be ready to do so with regard to specific areas.[45]

IV. THE MOST RECENT EXPERIENCES OF THE LAW OF THE SEA CONFERENCES

Experiences regarding compulsory procedures for the settlement of disputes in the law of the sea can be considered as being of specific relevance in our context. First, the law of the sea generally presents many similarities, in fact and in law, to space law. Second, the law of the sea is the one field in which we have the most recent experience in what States may or may not accept as procedures for the settlement of disputes.

Past instruments did not attain much acceptance in State practice. The Optional Protocol Concerning the Compulsory Settlement of Disputes, April 29, 1958, has been open for signature by all States becoming parties to any convention on the law of the sea adopted by the United Nations Conference on the Law of the Sea. It provides for the compulsory jurisdiction of the International Court of Justice, unless the parties concerned agree to submit their dispute to an arbitral tribunal.[46]

During the latest conferences on the law of the sea, which took place in New York in the summer of 1977, compulsory procedures for the settlement of disputes became a highly controversial and very complicated issue. Although the experience of the preceding conferences and their respective results present quite instructive material,[47] results of the last conference are of the greatest interest in this context and therefore will be briefly considered. For a general indication of State practice, as it can be considered in the context of future developments of space law, one seems justified in disregarding the informal and nonbinding character of the Informal Composite Negotiating Text

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[45]For example, the United Arab Republic refused the Swiss proposal to conclude a general arbitration and conciliation treaty, but accepted arbitration in the air transport agreement between both States.

[46]BGBL. 1972 II 1102 f.

[47] *See Informal Single Negotiating Text on Settlement of Disputes,* 15 Int'l Leg. Mat. 61 (1976); Adede, *Law of the Sea: The Scope of the Third Party Compulsory Procedures for Settlement of Disputes,* 71 Am. J. Int'l L. 305 (1977); Gamble, *The Law of the Sea Conference* (New York, March-May 1976); *Dispute Settlement in Perspective,* 9 Vand. J. Transn'l L. 323 (1976); Hull, *Much Ado About Something - Dispute Settlement and the Law of the Sea Convention,* 11 Int'l Law. 365 (1977).

(ICNT)[48] which the president of the conference, under his own responsibility, issued after the end of the last conference in August 1977. Although the final convention may differ from the ICNT, the latter's factual importance for the final and binding drafting of the convention should not be underestimated.

The general provisions on the settlement of disputes[49] give a priority to any settlement procedure chosen by agreement of the parties to a dispute[50] or any "final and binding procedure" under general, regional or special agreements.[51] Otherwise, signing State parties may, by written declaration, choose any one of the following means for the settlement of disputes:

a) the Law of Sea Tribunal constituted in accordance with annex V;
b) the International Court of Justice;
c) an arbitral tribunal constituted in accordance with annex VI;
d) a special arbitral tribunal constituted in accordance with annex VII.[52]

A State which is a party to a dispute not covered by a declaration shall be deemed to have accepted arbitration.[53] If the parties to the dispute have not accepted the same procedure for the settlement of such dispute, it may be submitted only to arbitration, in accordance with annex VI, unless the parties otherwise agree.[54] Consequently, arbitration is the compulsory subsidiary settlement procedure of the ICNT. It is clear that any decision rendered shall be final and shall be complied with by all the parties to the dispute.[55] There are limitations on the applicability of the described rules in certain cases.[56] Disputes relating to the exercise, by a coastal State, of sovereign rights or

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[48]The text was unpublished at the time of preparation of this manuscript. The author's comments are made on the basis of the text as it was sent to the national delegations to the conference in August 1977. It was made available to the author by Prof. Jaenicke, who was a member of the German delegation.

[49]Informal Composite Negotiating Text, arts. 279-97.

[50] *Id.* art. 280.

[51] *Id.* art. 282.

[52] *Id.* art. 287.

[53] *Id.* art. 287, para. 3, annex VI.

[54] *Id.* art. 287, para. 5.

[55] *Id.* art. 295.

[56] *Id.* art. 296.

jurisdiction shall only be subject to these procedures under certain conditions[57] and the scope of jurisdiction of the court or tribunal in such cases, described in more detail,[58] includes the freedom of overflight.[59] Furthermore, optional exceptions may be declared by signing States with respect to disputes concerning military and similar activities[60] and concerning sea boundary delimitations. The latter exception, however, is only possible provided the State "accepts a regional or other third party procedure entailing a binding decision."[61] Finally, the ICNT contains special rules for the settlement of disputes regarding the international sea bed,[62] providing for the jurisdiction of the Sea-bed Disputes Chamber of the Law of the Sea Tribunal[63] or for arbitration.[64] Claims of nationals of a State party are admissible against the International Sea-bed Authority[65] but not against other State parties; however, State parties may present claims against the nationals of other State parties.[66] State parties have the right to intervene in the proceedings to which their nationals are a party.[67] The Sea-bed Disputes Chamber of the Law of the Sea Tribunal shall not pronounce itself on the question of whether any rules, regulations or procedures adopted by the Assembly or the Council are in conformity with the provisions of the Convention on the Law of the Sea.[68] This outline of the major respective provisions in the ICNT, which is not exhaustive, may be sufficient to indicate that States are on the way toward reaching a highly flexible system of adjudication and arbitration. In this system States have a relatively wide choice regarding the procedure of settlement but are bound to accept at least one binding procedure. The ICNT therefore provides for compulsory adjudication or arbitration. This text must be considered as an important indication for the possible future development of space law, since exploration and use of outer space presents many similarities to such activities in the open sea.

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[57] *Id.* art. 296, para. 1.

[58] *Id.* art. 296, para. 2.

[59] *Id.* art. 296, para. 2 (a).

[60] *Id.* art. 297, para. 1 (b) and (c).

[61] *Id.* art. 297, para. 1 (a).

[62] *Id.* arts. 187-92.

[63] *Id.* art. 187.

[64] *Id.* art. 188.

[65] *Id.* art. 187, para. 2 (b).

[66] *Id.* art. 189, para. 1 (ii).

[67] *Id.* art. 192.

[68] *Id.* art. 191.

V. TREATIES ON INTERNATIONAL COMMUNICATION

Another field that presents certain similarities to space activities as they exist today, and even more as they will exist in the future, is the field of international communication. Communication can only function on the basis of cooperation; therefore, there is a specific factual pressure from the subject matter involved in that field to solve disputes quickly and finally. A very short glance at some treaties in this field may thus be useful.

Of special interest in this context is the International Telecommunications Convention[69] which provides for compulsory arbitration, the awards of which are final and binding for the parties concerned. Special characteristics of this arbitration are that not only persons but also administrations and governments can act as arbitrators; and if two arbitrators cannot agree on a third arbitrator, each one may nominate a third arbitrator and the Secretary General of the ITU will then choose one of the nominees by drawing a lot. This convention is but one of the several multilateral conventions in the field of international communications that provides for arbitration in case of disputes. Others, besides those mentioned in the fields of space law and air law, are the conventions concerning the Universal Postal Union,[70] the International Railway Convention,[71] the Convention concerning the border traffic of motor vehicles[72] and the Danube Convention of 1948.[73]

VI. COMPULSORY PROCEDURES OF GENERAL APPLICATION

There have been many attempts to come to generally applicable procedures of adjudication or arbitration for the compulsory settlement of international disputes.[74] If one wants to judge the prospects of eventual methods for the settlement of space law disputes, one should also give due regard to this respective experience and State practice. The more the use of space, in general, and space law, in particular, loses its character of being something special in comparison to other fields of international relations and international law, the more the interests and problems involved will

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[69]BGBL. 1968 II 931.

[70]BGBL. 1971 II 245.

[71]CIM and CIV of February 25th, 1961; BGBL. 1964 II 1520 and 1898.

[72]A Survey of Treaty Provisions for the Pacific Settlement of International Disputes, U.N. Doc. 66. V. 5 at 333.

[73]Convention on the Regime of Navigation on the Danube, Aug. 18, 1948, 33 U.N.T.S. 181.

[74]For a general picture of arbitration and conciliation in present international law, *see* Hans von Mangoldt, Arbitration and Conciliation in Judicial Settlement of International Disputes: An International Symposium, (Max Planck Institute for Comparative Public Law and International Law, 1974).

become comparable to those of other fields. Thus the experience and State practice with regard to the settlement of disputes in such other fields will also present relevant evidence for the possible further development of that aspect of space law.

Attempts to come to general solutions for settlement of international disputes go back as far as the Hague Convention for the Pacific Settlement of International Disputes, October 18, 1907,[75] and the establishment of the Hague Permanent Court of Arbitration (which is neither permanent nor a court but merely a list of arbitrators).[76] These attempts continued with the Permanent Court of International Justice.[77] After the Second World War came the provisions on the settlement of disputes in the Charter of the United Nations,[78] and the International Court of Justice.[79] The former did not provide, and the latter was never widely accepted as a means for the judicial settlement of disputes. The difficulties are illustrated by the inability of the U.N. Special Committee for friendly relations to agree on procedures, especially judicial procedures, suitable for the settlement of disputes, in spite of the drafts submitted by a number of member States.[80] The General Assembly Resolution 2625 (XXV)[81] on principles of international law concerning friendly relations and cooperation among States in accordance with the Charter of the United Nations did not really present much progress.

The International Law Commission,[82] in its efforts to draft a more acceptable machinery for the settlement of disputes, in view of the highly political aspects of the general topic of the peaceful settlement of disputes,[83] restricted itself to the technique which it thought to be more acceptable to a larger number of States; that is, to

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[75]RGBL. 1910, 5. Convention for the Pacific Settlement of International Disputes, Oct. 18, 1907, 36 Stat. 2199, T.S. 76 No. 536, 54 L.N.T.S. 435 (proclaimed Feb. 28, 1910).

[76]For further details *see* Scott, *The Hague Conventions and the Declarations of 1899 and 1907* (1915).

[77]Statute of the Permanent Court of International Justice, Dec. 16, 1920, (1923) Gr. Brit. T.S. No. 23 (Cmd. 1981), 6 L.N.T.S. 390.

[78]Charter of the United Nations, June 26, 1945, chap. VI, arts. 33-38, 59 Stat. 1031, T.S. No. 993, 1 U.N.T.S. XVI. *See also* art. 1, para. I; art. 2, para. III; and, of course, art. 92.

[79]Statute of the International Court of Justice, 59 Stat. 1055, T.S. No. 993.

[80]20 U.N. GAOR, Anexxes (Agenda Items 90, 94, paras. 128-137) 201, U.N. Doc. A/5746; 21 U.N. GAOR, Anexxes (Agenda Item 87, paras. 157-161) 249, U.N. Doc. A/6230 (1966); 25 U.N. GAOR, U.N. Doc. A/AC. 125/12 (1970).

[81]G.A. Res. 2625, U.N. Doc. A/8082 (1970).

[82]For establishment of the International Law Commission, *see* G.A. Res. 174, U.N. Doc. A/519, at 105 (1947).

[83]For discussion of members of the ILC at the meetings in 1949 and 1950, *see* Summary Records of the First Session, [1949] Y.B. Int'l L. Comm'n 9, 50, 53, 58, 237 (1949); Arbitral Procedures, [1950] 2 Y.B. Int'l L. Comm'n 157 (1950).

international arbitration. Since the major advantage of arbitration is its adaptability and flexibility in comparison with the more rigid institutions and procedures of an international court, the International Law Commission did not present the results of its work in the normal form of a draft for a mulitlateral convention, but "as a set of model draft articles which States could draw upon, to such extent as they might see fit, in concluding bilateral or plurilateral arbitral agreements *inter se,* or in submitting particular disputes to arbitration *ad hoc.*"[84] Although this was certainly a wise approach to take, one cannot neglect the fact that, so far as could be ascertained, these Model Rules on Arbitral Procedures have not yet been applied in a single case.

Although negotiations on many multilateral conventions have led repeatedly to the consideration of questions dealing with the settlement of disputes, particular attention should be drawn to the detailed rules on the settlement of disputes that have been included in the Convention on the Law of Treaties,[85] since they are of relevance also for treaties concluded in the field of space law. These rules, as they came into the Convention, on one hand went beyond the draft treaty presented by the International Law Commission, but on the other hand did not follow the proposals for compulsory arbitration or adjudication.[86] The fact that many States were not ready to submit generally to adjudication or arbitration with regard to all treaties on any subject whatsoever, for which the Convention on the Law of Treaties would become applicable, need not necessarily be taken as a discouraging experience for the development of more compulsory solutions in space law, since space law presents a much more restricted and foreseeable area of application for the settlement of disputes.

VII. BILATERAL TREATIES

Finally, it may be mentioned that, in addition to the air transport agreements previously discussed, there are numerous other bilateral agreements concluded after the Second World War which contain compromise or arbitration clauses. These clauses often appear in agreements between the United Nations or its subsidiaries and developing

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[84]International Law Commission, Report, 53 Am. J. Int'l L. 230, 232 (1959); *see also* International Law Commission, Report to the General Assembly, [1958] 2 Y.B. Int'l L. Comm'n, 78, 80, 83 (1958); Dhokalia, The Codification of Public International Law 292 (1970).

[85]U.N. GAOR, Conference on the Law of Treaties, U.N. Doc. A/CONF. 39/1-2 (1970).

[86]For details regarding the draft of the ILC, *see* the comments to Art. 62 of the draft, UNCLTOR 1st and 2nd Sessions, Documents of the Conference, U.N./Doc. A/CONF.39/11/Add. 2 and U.N. Doc. E/70.V.50 at 82 (1970). For details regarding proposals for compulsory arbitration or adjudication, *see* U.N. Doc. A/CONF.39/C.1/L. 250; UNCLTOR, *id.* at 206; and U.N. Doc. E/70.V.6 at 341 (both concerning the rejected Swiss proposal); UNCLTOR, *id.* at 186.

countries,[87] in trade and navigation treaties,[88] in treaties on the protection of foreign investments which are mostly concluded between Western industrialized and developing countries[89] and in agreements on trade and financial transactions and economic cooperation as they are concluded chiefly between socialist states.[90]

VIII. CONCLUSION

As this paper indicates, present space law is very insufficiently equipped for the peaceful settlement of disputes, although such disputes are bound to arise. State practice in other fields presents an ambiguous picture. What conclusions might one draw from this short examination of the present state of the law and of State practice for the further development of space law?

The first fact one has to realize is that States are reluctant to submit to the binding decision of any sort of tribunal. Also, with regard to space activities, this reluctance must be expected; thus, skepticism as to the possible development of acceptable techniques for the settlement of disputes in space law seems justified.

This survey has shown that more progress has been achieved in more restricted fields of international law. It might therefore be possible to enlarge the very few and limited rules of present space law dealing with the settlement of disputes by developing additional techniques, at least for certain aspects of space law. Compulsory procedures might be more easily accepted in the framework of specific outer space treaties than as a general means of settling any dispute on activities in outer space, although the latter solution may seem to be preferable. In view of similar experiences in other fields of international communications, this may be especially true for the different aspects of

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[87] *See, e.g.,* Agreement on Assistance from the Special Fund, May 22, 1963, United Nations, Special Fund - Jamaica, art. IV, 489 U.N.T.S. 191; Agreement for Provision of Personnel, May 22-Sept. 23, 1963, United Nations-Jamaica, art. V, 479 U.N.T.S. 19; Agreement Concerning Assistance from the Special Fund, March 10, 1961, United Nations Special Fund-Cuba, art. IX, 390 U.N.T.S. 35; and Agreement Concerning Assistance from the Special Fund, May 26, 1966, United Nations Special Fund-Bulgaria, art. IX, 563 U.N.T.S. 71.

[88] *See, e.g.,* A Survey of Treaty Provision for the Pacific Settlement of International Disputes, *supra* note 72, at 620.

[89] Almost all investment protection treaties include clauses providing for compulsory arbitration. *See, e.g.,* Treaty on Investments, Dec. 13, 1961, Thailand-Federal Republic of Germany, art. XI, 541 U.N.T.S. 181; Agreement on Economic and Technical Co-operation, March 29, 1963, Japan-Burma, art. X, 518 U.N.T.S. 3; Convention on the Encouragement of Capital Investment, May 23, 1963, Netherlands-Tunisia, art. IV, 523 U.N.T.S. 237; Agreement on Commercial and Economic Cooperation, July 29, 1963, United Kingdom-Cameroon, art. VI, 478 U.N.T.S. 149.

[90] Most of these agreements provide for mixed commissions trying to prevent disputes; some also provide for arbitration, such as agreements of 1947 between Czechoslovakia and Poland as well as Yugoslavia, and between Hungary and Czechoslovakia. *See also,* A Survey of Treaty Provisions, *supra* note 72, at 579.

communication through space, which in the long run cannot function with pending disputes on essential questions. Therefore, there will be a specific pressure from the matter involved to accept binding procedures for settling such disputes.[91]

From the survey of other fields of law one may conclude that the decision of States to accept such procedures may be facilitated by several measures. One such measure could be to provide States with a choice among several different procedures of adjudication and arbitration so long as the choice of at least one is compulsory and so long as one procedure is automatically the subsidiary procedure for all cases in which States do not express a choice or the parties to a dispute have chosen different procedures. Another such facilitating measure might be to provide for binding decisions on the basis of international law only on legal questions, while for political questions one might provide for a decision *ex aeque et bono* or only for conciliation. States might also be more willing to submit to binding decisions if they are given the right to withdraw such a submission at any time, such withdrawal taking effect after a certain period of time and with regard to future disputes only. Generally, a settlement by the more flexible methods of arbitration seems to have a greater chance of being accepted than procedures referring either to the International Court of Justice or some new permanent international court.

Although there are a number of arguments for, and perhaps even more against, forming a new world-wide international space agency which cannot be commented on here, experience from other international and regional organizations shows that it might be easier to arrive at some compulsory settlement of disputes within the framework of such an institution.

Since compulsory procedures to peacefully settle disputes on activities in outer space will be increasingly needed with the growing transformation from the exploratory to the implementary phase of space activities, space lawyers are facing a specific responsibility in this respect. Optimistic missionary efforts should not be expected to be the response to this challenge. Actual progress in the sense of ratified treaty provisions for such procedures can be expected only after States realize the risk of their space activities being disturbed or their interests being insufficiently protected due to the lack of such procedures. Space lawyers will have to prepare the ground for that date by analyzing space law *de lege lata* and working on possible solutions *de lege ferenda.*

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[91]The proposals by Sloup, *Peaceful Resolution of Outer Space Conflicts Through the International Court of Justice: "The Line of Least Resistance"*, 20 DePaul L. Rev. 618, 688 (1971), for a very wide ranging competence of the International Court of Justice may be asking for too much and therefore may have little chance of realization in State practice.